L&T Hydrocarbon Engineering

L&T Hydrocarbon Engineering Limited
2nd floor, Annapurna Complex, 559
Lewis Road, Bhubaneswar, Khordha
Odisha-751014, INDIA

LOI No.:- OUEP-LSTK2-PKG-AG-064

Date: 05th Feb 2020

M/s NIHVA Technologies Pvt. Ltd.
187, G-BLOCK, 1ST FLOOR, ABOVE RENAULT
SHOWROOM, THERMAX CHOWK, MIDC
CHINCHWAD. PUNE - 411019

Attn: Mr. Vivek Bari

Project: Ethylene Glycol Project (LSTK - 2 Package), Paradip Refinery Complex Odisha
Client: Indian Oil Corporation Limited, (IOCL)
EPC Contractor: L&T Hydrocarbon Engineering Limited, India

Subject: Letter of Intent (LOI) for Supply of Dock Leveler with Mandatory Spares which includes but not limited to design, detail engineering, submission of documentation as detailed in the VDR, procurement, manufacturing, inspection & testing as per approved Inspection & Test Plan (ITP), Coordination with Third Party Inspection Agency (TPIA), obtaining all statutory approvals/ certifications, painting, supply, packing and loading on transporter's vehicle for Ethylene Glycol Project (LSTK-2 Package) for M/s Indian Oil Corporation Limited (IOCL).

Ref. Docs

1) RFQ Ref. No. LNT/IEGPONU/0065
2) MR Ref. No. IPEG-6389-8470-RQ-207B-0010 and subsequent addendums (if any)
3) Final Commercial offer dtd. 03rd Feb 2020
4) All other correspondence and confirmations related to the Technical matters, QA matters, Commercial Terms & Conditions, BG formats, Prices, Delivery, Scope, MOMs, CQs, TQs etc. prior to placement of this LOI.

Dear Mr. Vivek Bari

With reference to the above, M/s L&T Hydrocarbon Engineering Limited, Baroda (hereinafter referred to as Purchaser) is pleased to release this Letter of Intent (LOI) on M/s NIHVA Technologies Pvt. Ltd., Pune (hereinafter referred as Supplier) for design, procurement, manufacturing, supply, inspection, testing, co-ordination of Third Party Inspection, packing & forwarding on Ex Works, Pune (INCOTERMS 2010) basis including packing and loading on transporter's vehicle for Dock Leveler along with supply of E&C Spares and Mandatory Spares for IOCL LSTK-2 project.

PRICE & PRICE BASIS:

The total Price for supply of Dock Leveler along with supply of E&C Spares, Mandatory Spares shall be as per Annexure – I to this LOI.

CONTRACTUAL DELIVERY DATE (CDD):

The effective date of the Order shall be the date of this LOI i.e. 05th Feb 2020.

The contractual delivery date of Dock Leveler, all items inclusive of last dispatch and including spares shall be 10 Weeks from the effective date i.e. 15th Apr 2020 on Ex Works, Pune (INCOTERMS 2010) basis including packing and loading on transporter's vehicle.

- Supplier shall submit GA drawing within 1 week from date of LOI
- LTHE shall approve GA drawing within 4 weeks from date of LOI

Note: For any delay in approval of GA drawing not attributed to supplier account equivalent extension shall be provided by LTHE.

PAYMENT TERMS (SUPPLY & SERVICES):

A) 50% of the basic order value (excluding GST) shall be released on fulfilment of below conditions:
- Receipt of an unconditional Purchase Order acceptance copy
- Receipt of Advance Bank Guarantee (ABG), as per LTHE format (Attachment B) / approved banks (Attachment F) for equivalent amount, valid till 3 months after dispatch of all material
- Receipt of correct Invoice
- LTHE code – 2 approval on GA drawing

B) 50 % of the basic order value plus 100% taxes and duties shall be released after dispatch of all items or on prorate basis, as per scope of order, after settling LTHE's entitlements of contract price discounts and adjustments if any, as mentioned elsewhere and on receipt of following documents to LTHE:

- Receipt of Original Signed Tax Invoices (in Triplicate) and,
- Receipt of Lorry receipt and,
- Receipt of Original Packing List / Delivery Challan and,
- Receipt of Test Certificates duly endorsed by TPIA and,
- Receipt of Inspection Release Note by TPIA and,
- Receipt of Dispatch Clearance in writing from LTHE and,
- Receipt of Original Guarantee/Warranty Certificate stating that the equipment's + spares + accessories supplied against the subject order are meeting the guarantee requirements of the P.O. no. XXXX and PR No. XXXX Rev XX (Latest revision of the approved PR to be mentioned) and,
- Receipt of Original General Compliance / Conformity Certificates issued by Supplier stating that all terms and conditions of the purchase order / Contract until Ex-works shipment have been fully complied with and,

All above payments shall be made to supplier within 30 Days (Thirty) through Wire Transfer from receipt of Original Invoice along with all the correct & complete documents specified above at LTHE Baroda Office

PRICE DISCOUNT CLAUSE:

In case of delay in supply beyond the contractual delivery period, the price will be discounted @1% of the basic Order value (excluding taxes & duties) per week of delay or part there of subject to a maximum of 10% of Order value.

All other terms shall be as per Attachment-A to Attachment-E to this LOI.

The Supplier shall acknowledge the receipt of this LOI and confirm acceptance of the same in its entirety without exception by 05th Feb 2020.

Thanking You,

Yours truly,
For L&T Hydrocarbon Engineering Limited

5/2/20

Asit Mishra
Joint General Manager - Supply Chain Management
Onshore Projects

Attachments to this LOI:

Annexure-I	Price sheet
Annexure-II	Reference List
Annexure-II	Terms & Conditions of Purchase and for Site Supervision Service

Annexure-I to LOI No. : OUEP-LSTK2-PKG-AG-064

Annexure - I

Price Schedule for Design, Engineering, Manufacturing, Procurement, Inspection & Testing, Co-ordinating with TPIA & Supply of Dock Leveler

Sr. No	Description	Qty	UOM	Unit Price	Total Amount
A	Dock Leveller 6 Ton	1	Nos.	INR 3,42,500	INR 3,42,500
B	Spare Motor	1	Nos.	INR 1,00,000	INR 1,00,000
C	Extended warranty for 2nd Year from date of Dispatch	-	-	INR 17,500	INR 17,500
D	Packing & Forwarding Charges	-	-	INR 13,800	INR 13,800
TOTAL PRICE (INR) on Ex-works,Pune basis duly packed & loaded on transporter's vehicle					**INR 4,73,800**
Optional Prices					
A	Transportation	1	Lot	-	INR 80,000
B	Extended warranty for 3rd Year from date of Dispatch	1	Lot	-	INR 27,500
Note: Above optional price for extended warranty for 3rd year from date of dispatch shall be valid till the end of 2nd year warranty					
Site Supervision Charges					
A	Site Supervision charges including accomodation and food for 1 person	1	Day	-	INR 10,000
Note: Travel charges for Train AC 2 Tier / Economy Class Air Fair shall be reimbursed at actual.					

LARSEN AND TOUBRO LIMITED

ANNEXURE-II to LOI NO. OUEP-LSTK2-PKG-AG-064 dated 05th Feb 2020

Reference Documents

List of reference documents which forms a part of this contract:

- L&T's email dtd. 04th Jan 2020 sending RFQ for supply of Dock Leveller.
- Nihva's email dtd. 06th Jan 2020 sending offer for Dock Leveller.
- L&T's email dated 09th Jan 2020.
- Nihva's email dated 15th Jan 2020.
- L&T's email dated 16th Jan 2020.
- Nihva's email dated 20th Jan 2020
- Nihva's email dated 20th Jan 2020
- L&T's email dated 30th Jan 2020.
- Nihva's email dated 03rd Feb 2020
- Various Techno-commercial queries, replies and clarifications, communications and agreements prior to placement of this LOI.

TERMS AND CONDITIONS OF PURCHASE

FOR

ETHYLENE GLYCOL PROJECT (LSTK 02 PACKAGE), PARADIP REFINERY Of INDIAN OIL CORPORATION LIMITED (IOCL)

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Definitions / Abbreviations

OWNER	INDIAN OIL CORPORATION LIMITED (IOCL)
PMC	Toyo Engineering India Private Limited
Licensor	Not Applicable
Project	INTERMEDIATE AND PRDUCT STORAGE OF ETHYLENE GLYCOL PROJECT (LSTK-2 PACAKGE) OF PARADIP REFINERY
Contract / Orders	Shall mean the totality of agreement between LTHE and Supplier as derived from the Contract documents and shall include the following in the listed order of precedence: (a) The Purchase Order and any Amendments thereof (b) Agreed Terms and Conditions of Purchase, Material Requisition (MR) and any mutually agreed amendments to the Agreed Terms and Conditions and Material Requisition (c) Final Offer of Supplier
Project Mechanical Completion	Shall mean installation of all equipment's and thereafter completion of all activities to be performed including pre-commissioning and start-up activities, completion of all punch-list items, as provided by Owner/PMC and/or Process Licensor and/or statutory bodies like OISD, CCE, TAC, Factory Inspector, Pollution Control Authorities etc.
Commissioning	Shall mean pressing into service of the plant(s), Equipment(s), Vessel(s), Pipeline(s), Machinery (ies) and systems & sub-systems comprised within the Unit(s) in accordance with the procedures as approved in the applicable Operating Manual and as per the requirements of OWNER after successful testing, pre-commissioning and trial run of the Unit(s).
Performance Guarantee Tests	Shall mean the test or series of tests to be carried out to prove the contractual guarantees. (PGT/ PGTR).
Code-1	Rejected (Revise and resubmit.)
Code-2	Commented as noted (Work may proceed subject to acceptance and incorporation of comments.)
Code-3	Acceptable with minor comments (Incorporate comments, if any. Resubmit as certified final. Work may proceed.)
Code-4	Approved with No comments – FINAL (Work may proceed.)
Code-5	Information only (Accepted for information only. Work may proceed.)

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Parties	Shall mean the Parties executing this Contract, viz. LTHE and the Supplier.
Party	Shall mean one of the Parties.
AI	Authorised Inspector (ASME)
TPIA	Third Party Inspection Agency
LOI	Letter of Intent
PO	Purchase Order
ITP	Inspection Test Plan
VDR	Supplier Data Requirement
PTR	Proven Track Record
VQC	Supplier Qualification Criteria
MR	Material Requisition
PR	Purchase Requisition
Supplier	Shall mean the supplier of goods and/or services on whom the Purchase Order is released
Sub-Supplier	Shall mean Supplier's Supplier
Package	Supplies under this Contract.
Supplies	Shall mean the totality of materials by expression or implication required to be supplied by the Supplier within the Scope of Work.
RFQ	Request for Quotation to Supplier OR Enquiry
LTHE	LTHE Hydrocarbon Engineering Limited
FAT / IFAT	Factory Acceptance test / Integrated Factory Acceptance Test to be carried out at vendor / sub-vendor facilities / factory as per agreed scope
SAT	Site Acceptance Test to be carried out at project site as per agreed scope

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1 Scope of Work / References

1.1 Scope of work shall be strictly as per the Material Requisition (MR) enclosed with enquiry document, subsequent addenda, correspondence, discussions and MoMs. Any exclusions, clarifications etc. stand withdrawn unless otherwise mutually agreed, duly recorded and accepted by LTHE prior to placement of Order.

2 Prices & Price Basis

2.1 Price shall be on Ex-works basis inclusive of packing and loading onto transporters vehicle. Price is in full or in part shall be firm and fixed with no escalation whatsoever, throughout the period of execution of the Order. Variation in prices of Raw material or Bought-Out items shall not be admissible. Any variation in price on account of Exchange rate fluctuations, changes in taxes/duties, increase in wages, labour rates, fuel prices etc. shall not be admissible.

2.2 Third Party Inspection charges for inspection as per Inspection Test Plan (ITP) shall be borne by LTHE at supplier and sub-supplier works. However, co-ordination with Third Party Inspection Agency shall be in supplier's scope.

2.3 **Prices are inclusive of following charges: -**

2.3.1 Transportation Saddles, templates / gauge plates, etc.

2.3.2 **Testing / Trial Run / FAT** as per MR and approved ITP at Supplier's works, sub-Supplier's works & Site

2.3.3 Co-ordination with TPIA as per the inspection co-ordination procedure, IBR charges, Code Charges for AI Stamping, etc.

2.3.4 **Mandatory Spares** as per philosophy specified in the MR.

2.3.5 **Spares for Erection & Commissioning** as per philosophy specified in the MR / Supplier's Recommendation.

If some Spares, which are considered "Not applicable or not considered in correct quantity as per philosophy" by Vendor becomes applicable or the quantity is corrected based on spares philosophy at the time of order execution, Vendor shall supply them in line with Mandatory Spares Philosophy at no extra cost and / or time implications to LTHE.

2.3.6 **Special Tools & Tackles required for Erection & Commissioning** as specified in the MR. If the list is not furnished in MR, the same shall be provided as per Supplier's Recommendation.

2.3.7 **Training Charges** for the complete package, individual components as mentioned in MR. These shall include charges for training at Supplier Works and / or at Project site, training manual, etc. Training charges shall be as Per Diem basis.

2.3.8 **Charges for documentation** (hard & soft copy) for approval & as-built etc. in requisite no. of sets as per MR

2.3.9 **All first-fills for all equipment i.e. Lubricating oils, chemicals, consumables** during erection, trial-runs, pre-commissioning, commissioning upto PGTR as per supplier's recommendation.

2.3.10 **Supervision of Erection, Commissioning & Performance Tests**

Supervision of erection, testing, commissioning & performance tests at the Project site shall be as per the LTHE terms and conditions for site supervision.

The per diem rates shall be inclusive of cost of Lodging, Boarding, , Local conveyance, Travel to Site, communication cost, insurance, overseas & local telephone calls, pocket money, Income Tax & all applicable taxes & duties, and all other incidental expenses.

To & Fro Travel (Economy Class Airfare) shall be reimbursed extra at actuals.

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Refer Annexure H for Terms & Conditions for Supervision of Erection, Commissioning & Performance Tests and for Client Training at Site.

2.4 Taxes and Duties

2.4.1 Raw Materials / Components imported by Indigenous Supplier to their works.

For all raw materials / components sourced by the Supplier, all import duty and other taxes & duties on such raw material / components shall be in the scope of the supplier and paid by the supplier. Statutory variation in taxes & duties on raw material / components shall be to Supplier's account at all times.

LTHE/OWNER will not bear any liability towards payment of Safeguard Duty, Anti Dumping Duty, Protective Duty and applicable IGST on same Or Countervailing Duty on subsidized articles or any other such duties of Customs imposed by the Government under Customs Tariff Act, 1975 applicable on import of any materials to India for the subject work. Therefore, the SUPPLIERs are expected to source such materials required for the execution of work only from domestic producers in India.

2.4.2 Finished Goods shipped from Supplier Works to Site

Goods and Service Tax (GST) for items dispatched in adherence to billing & dispatch instructions issued by LTHE shall be reimbursed upto a maximum of the declared amount (maximum ceiling amount) against documentary evidence. The supplier shall strictly follow the billing and dispatch instructions in this regards.

For all raw materials / components / services sourced as inputs by the Supplier, all import duty, GST and any other taxes & duties on such raw material / components / input services shall be in the scope of the Supplier and paid by the Supplier. Statutory variation in taxes & duties on inputs (raw material / components / services), shall be to Supplier's account at all times.

The Supplier shall adhere to the Billing & Dispatch Instructions issued by LTHE (to be issued before despatch).

Applicable Goods and Services tax (SGST/UTGST, CGST, IGST) on Supplier's Goods and/or Services shall be paid by LTHE, subject to following terms –

- Suppliers are registered under GST and have valid GST registration at all the time.
- Supplier shall submit GST tax invoice as per applicable SGST / UTGST/ CGST / IGST Act, 2017 and corresponding GST rules
- Supplier shall discharge the applicable CGST & SGST/UTGST / IGST liability, as the case may be, and file GST Returns within the stipulated time.
- Applicable GST Amount & rate to be indicated in tax invoice.as per relevant GST Act.
- Credit and Debit note to be raised as per the relevant provision of GST Act and rules made thereunder.
- Any increase in GST Rate over and above the applicable rate, whether arising out of statutory changes or otherwise beyond the "Contractual Delivery Date" (CDD) shall be to Supplier's account.
- Any increase in the GST Liability or any other duties, taxes and levies due to wrong classification of HSN (Harmonized System of Nomenclature) / SAC (Services Accounting Code) by the Supplier, within Contractual Delivery Date, shall be to Supplier's account.
- In the event the Supplier does not discharge the applicable GST in time as per the GST

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payment rules, the Company (LTHE) reserves the right to retain the said amount from Supplier's invoice and release the same only after evidence of tax payment by the Supplier is furnished.

Statutory Variation in Taxes and Duties

Statutory variation in GST mentioned above and any new taxes and duties, within the contractual delivery period on finished Goods and/or Services and Goods directly despatched to site from Supplier works shall be to Company's (LTHE's) account.

Statutory variation in GST mentioned above and any new taxes and duties, beyond the contractual delivery period on finished Goods and/or Services and Goods directly despatched to site from Suppliers works shall be to Supplier's account.

Any other statutory variations shall be to Supplier's account.

If any existing taxes or duties are withdrawn or the rate is decreased after the date of submission of the offer / revised offer (whichever is later) on any payments due to the Supplier under the PO other than tax on income, wealth or profits of the Supplier, the LTHE shall be entitled to discount in the amount payable to the Supplier of amount equivalent to the amount of such taxes or duties withdrawn or decreased.

Income tax / GST TDS shall be deducted from the Supplier Invoices / Claims and deposited with respective Govt. as and when applicable.

All advances paid as per PO terms shall be considered as inclusive of GST wherever applicable.

Statutory Approvals:

Unless otherwise specified, it shall be the SUPPLIER's sole responsibility to obtain all approvals from any authority (except for environment & CRZ clearance) required under any statute, rule or regulation of the Central or State Government concerned with the performance of the Contract and/or the contractual Work. The application on behalf of the LTHE for submission to relevant authorities along with copies of required certificates shall be prepared and submitted by the SUPPLIER well ahead of time so that the actual construction/commissioning of the works is not delayed for want of the approval/inspection by the concerned authorities. The SUPPLIER shall arrange for the inspection of the works by the authorities and will undertake necessary coordination and liaison required and shall not be entitled to any extension of time for any delay in obtaining such approvals.

2.5 Repeat Order

2.5.1 In case of additional requirement, supplier shall confirm to supply as per Unit Rate mentioned in the price schedule.

Supplier shall prepare specimen of Invoice, Packing List based on Billing Instructions forwarded to Supplier along with Dispatch Instructions two weeks prior to dispatch and submit the same to LTHE for approval. LTHE reserves the right to back-charge the Supplier for non-compliance to LTHE's written instructions regarding commercial documents and / or dispatch documents to the extent of the commercial implications to LTHE.

3 Delivery:

3.1 Delivery is of prime importance.

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3.2 Contractual delivery date is on Ex-works duly packed and loaded onto transporters vehicle, (INCOTERMS 2010) basis. Delivery is inclusive of time required for Inspection by Third Party Inspection Agency / LTHE / PMC / OWNER.

3.3 The date of Lorry Receipt shall be reckoned as the date on which the delivery has been effected for delivery on Ex-works basisThe date recorded as "Site Receipt Date" (by the Stores In-charge of LTHE at Site) shall be reckoned as the date on which the delivery has been effected for delivery of F.O.R. Project site basis.

3.4 Effective Date of the Order shall be the date of the Order by LTHE by way of LOI or P.O., (whichever is earlier), unless specified otherwise.

3.5 The number of dispatchable units with dimensions & weight (after packing) shall be clearly specified in the packing list. All category of spares (i.e. Erection & commissioning, Mandatory, Critical, Capital, 2 years operation, as applicable) shall be packed separately with item wise packing list.

Maximum pre-fabrication shall be carried out at Supplier / Supplier's sub-Supplier's works to minimize site work. The extent of site fabrication to complete the equipment shall be specified in the offer.

3.6 If the SUPPLIER fails to deliver the GOODS within the Contractual Delivery Date due to reasons attributable to the SUPPLIER, the LTHE shall have the right to cause SUPPLIER to ship the GOODS by the most expeditious means of transportation, such as air freight, at the expense of the SUPPLIER.

3.7 Supplier shall submit draft Packing List showing all dispatchable units with weight & dimensions before 12 weeks' ex-works readiness.

3.8 List of inputs required by Supplier to meet the Contractual obligations alongwith the "Time Schedule" of requirement will be submitted during the Kick-off meeting / within 2 weeks of receipt of LOI/PO

3.9 Detailed "Delivery Schedule" (Bar Chart) showing Engineering, Procurement, Manufacture, Shop Inspection, Transportation, etc. will be furnished within 2 weeks from the LOI/PO

3.10 Supplier shall confirm after the last despatch that all materials required for completeness of the items as per PR have been despatched.

3.11 LTHE shall, within 16 Weeks of receipt of material at Site, revert regarding any short supplies w.r.t. Packing List. Supplier shall immediately supply the short supplied items on DDP Site basis with no Price implications to LTHE.

3.12 Supplier shall depute their representative to Site, atleast once on a mutually agreed date for reconciliation of all materials dispatched, in order to ensure completeness of the items as per scope mentioned in PR (Code-4 approved by PMC/Client)

Any Extra ordinary delay (beyond 10 weeks from CDD) not attributable to LTHE will be considered very seriously and Supplier shall be under Holiday list for any subsequent enquiries/ RFQ for a period of not less than three years.

3.13 Special Measures :

Buyer reserves the right to have Supplier implement special measures, such as, but not limited to:

- overtime and extra shifts, including weekends and shop holidays,
- alternative means / modes of transport,
- sub ordering of components,
- hiring of extra personnel.

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This right may be exercised, at no cost to Buyer, to recover delays caused by Supplier or sub-suppliers to an extent that will secure the contractual delivery date.

4 (Intentionally Left Blank)

5 Insurance of the items upto loading on Transporter Vehicle as per delivery basis shall be in Supplier's scope. Transit Insurance of items from dispatch point upto Project site shall be in LTHE's scope.

5.1 LTHE / OWNER shall arrange the Marine / Transit Insurance for the Project supplies. Supplier shall ensure that the Policy number is clearly written on the dispatch documents. Supplier shall intimate LTHE following details of the dispatch within 24 hours of dispatch.

- Purchase Order No. and Date
- Invoice No. & Date
- LR No. and Date
- Name of Transporter
- Place of Works
- Value of shipment
- Number of cases and gross weight.
- Shipment from & to

In case the Supplier fails to communicate the above information, Supplier will be liable to replace/repair the goods at his cost, in case of damage during transit.

Supplier shall provide all the support in case of a claim under the insurance.

6 Shipment Basis:

6.1 Shipment basis shall be on Ex-works duly packed and loaded onto transporters vehicle, (INCOTERMS 2010) basis.

6.2 Transfer of Property shall take place on exchange of negotiable documents required at the time of dispatch (such as Lorry Receipt)

7 General Conditions of Purchase Order

7.1 Conformance to Engineering Specifications / "Supplier-List" / PTR:

7.1.1 All Materials / items / equipment shall be supplied strictly as per MR, except for mutually agreed deviations duly recorded & accepted by LTHE prior to placement of Order. All other deviations, clarifications etc. stand withdrawn.

7.1.2 Materials / sub components shall be procured only from Sub-Suppliers as per OWNER / PMC "Project specific Supplier list" and sub-supplier list agreed pre-order.

7.1.3 In case the Supplier has to source certain materials / sub components, which do not form a part of the Supplier-List agreed pre-order, then a written request for the same shall be submitted and the approval of the same shall be at the sole discretion of LTHE/OWNER/PMC.

7.1.4 Proven Track Record (PTR) / Supplier Qualification Criteria (VQC) approval (as applicable) from PMC/OWNER shall be the responsibility of the Supplier without any Price and / or Delivery implications to LTHE. LTHE shall submit the PTR/VQC to PMC/OWNER. Supplier's competent representative shall attend across the-table discussions with PMC/OWNER for approval. In case of

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non-acceptance by PMC/OWNER, LTHE reserves the right to cancel the Order without any Price implications to LTHE.

7.2 Drawings/Documents:

7.2.1 Supplier shall submit all drawings/documents for approval in soft copy through LTHE's document server as per the time schedule specified in Supplier Document Requirement (VDR) of MR. LTHE / PMC / OWNER will approve / comment on the critical drawings/documents within Three weeks from the receipt. For the remaining drawings/ documents, the duration for submission and review / approval shall be mutually agreed during the KO meeting

7.2.2 Supplier shall get the designs / drawings reviewed & approved by LTHE/ PMC / OWNER. The comments shall be incorporated and implemented without any Price and / or Delivery implications to LTHE. Supplier shall be responsible for any delay in approval (for reasons attributable to Supplier), and shall not be eligible for any Delivery extension on this account.

7.2.3 Supplier shall ensure re-submission of drawings/ documents after incorporation of LTHE's / PMC /OWNER's comments within 10 days from receipt of comments (for first re-submission) and within 7 days for subsequent re-submissions. Supplier shall also ensure that the above documents/ drawings are complete in all respects. In case presence of Supplier is necessary for approval of drawings / documents / clarifications by LTHE/ PMC /OWNER, Supplier shall deploy competent personnel and facilitate early approvals/clarifications as required by LTHE/ PMC / OWNER at no extra Delivery and / or Price implications to LTHE.

7.2.4 Final Documentation as per VDR in MR will be submitted in requisite number of copies (both Hard & Soft) failing which the Order will be deemed to be incomplete. Index for final documentation shall be submitted 4 weeks prior to dispatch for approval. Comments from LTHE / PMC / OWNER shall be incorporated and re-submitted within 1 week from receipt of comments.

7.2.5 Soft copy of final documents (based on approved index) shall be submitted within 1 month from dispatch for approval. After approval of the soft copy the final documents in soft copies (two sets) and hard copies (No. of sets as per MR) shall be couriered to the address informed by LTHE.

7.3 Inspection, Testing and Quality Control

7.3.1 Supplier confirms acceptance to Indicative Inspection Test Plan (IITP) sent along with the RFQ. In case LTHE does not furnish an IITP, Supplier shall furnish ITP along with the offer, as per Inspection requirements specified in the MR

After award of Order, detailed Inspection Test Plan (ITP) / Quality Control Plan (QCP) shall be submitted for approval to LTHE within three weeks from the date of LOI/PO. LTHE shall approve / give comments within three weeks of receipt. Supplier to re submit all quality documents after incorporation of LTHE's comments within 10 days.

7.3.2 Obtaining approval of ITP from LTHE / PMC / OWNER shall be Supplier's responsibility during execution without any price and/or delivery implications to LTHE. All comments shall be incorporated and implemented without any price and / or delivery implications to LTHE.

7.3.3 Inspection of items shall be by TPIA / LTHE / PMC / OWNER as per approved QCP/ITP. Co-ordination for timely inspection by TPIA shall be Supplier's responsibility. Failure to do so, shall not be a reason for delivery extension.

7.3.4 Failure to inspect goods or payment for goods or acceptance of goods shall in no way impair LTHE's right to reject non-conforming goods or to avail of any other remedies to which LTHE may be entitled. Any inspection and acceptance thereof, shall not relieve the Supplier of their contractual

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obligations

7.3.5 Supplier confirms acceptance to LTHE's Inspection Co-ordination Procedure (Annexure D).

7.3.6 TPIA charges for re-inspection due to rejection, incomplete offering, Non-readiness shall be to Supplier's account

The costs related to inspections which will be cancelled after departure of the Inspector due to miscommunication (or where Supplier appeared to be not ready for the inspection) will be back charged to Supplier

7.4.1 Billing Schedule / Billing Breakup

For package items involving multiple dispatches / multiple locations Billing Schedule / Billing Break-up indicating the place of dispatch shall be submitted by the Supplier along with LOI acceptance for approval by LTHE and generation of the Purchase Order. Final billing break-up for despatches shall be clearly mention individual despatch items with clear unit of measure & quantities. . The generic terms like "Lot", "Set" as unit of measure shall not be acceptable. This shall be subject to LTHE's approval and shall be submitted atleast 4 (four) weeks prior to commencement of dispatch.

7.5 Progress Reports:

7.5.1 Supplier shall submit, within 2 weeks from the date of LOI/PO, bar chart/S-curve showing start and finish dates of various activities. Updated progress reports shall be submitted on weekly & monthly basis as per LTHEs format. After start of manufacturing / production progress report reflecting the updated manufacturing status to be submitted on weekly basis. Cut-off date and submission date for monthly reports shall be defined in the Kick Off meeting.

7.5.2 LTHE / PMC / OWNER's representative reserves the right to expedite Supplier's Sub-orders, if any, Supplier shall provide access to their sub-Supplier's works. Such expediting shall, in no way, relieve the Supplier of their delivery obligations under the terms of the Order. Supplier shall also provide unpriced copies of Purchase Orders, for major parts & components placed on the sub-Suppliers as part of progress report
Supplier shall convey all applicable Purchase Order requirements to sub-suppliers. All sub-orders shall show the following statement:
"THIS ORDER MAY BE SUBJECT TO INSPECTION, EXPEDITING AND/OR AUDITING BY BUYER AND/OR OWNER WHOSE REPRESENTATIVES SHALL BE ENTITLED TO ENTER THE ADMINISTRATIVE AND PRODUCTION FACILITIES OF SUB-SUPPLIER'S PREMISES."
Upon request copies of sub-order(s) shall be submitted to LTHE. Copies may be unpriced but should clearly show the description of material or equipment involved, agreed delivery date(s) and evidence of acceptance of the sub-order by the sub-supplier.

7.5.3 Kick Off Meeting shall be carried out at LTHE's offices. Supplier's Engineering, Quality & Project Manager and sales personal involved in bidding stage shall be present (as may be required by LTHE/OWNER).

7.5.4 Detailed organization chart with contact details (E-mail, Hand-phone numbers & direct numbers) of all key personnel viz. Project Manager, Engineering Manager, Quality Manager & Production / Manufacturing manager to be submitted by supplier in KOM.

7.5.5 Review meetings shall be held at LTHE / PMC / OWNER's office as may be required by LTHE/ OWNER/PMC

7.5.6 Project sponsors (members of management that sponsor the project) from "LTHE" and "supplier" shall attend the meetings once in two months as minimum or frequency as felt necessary.

7.6 Dispatch clearance:

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7.6.1 Supplier shall submit copy of IRN issued by TPIA, Inspection reports and other QA documents duly reviewed / approved by TPIA & any other inspection agencies as per approved ITP for despatch clearance by LTHE. Goods / individual items shall be dispatched only after issue of Code-4 approval (approved with no comments) of PR and drawings/ documents by LTHE / PMC / OWNER

7.6.2 Items shall not be dispatched by Supplier without LTHE's written dispatch clearance.

7.7 Billing Instructions:

7.7.1 The Billing Instructions (including Formats of Invoice, Packing List, LR) shall be forwarded to the Supplier along with the Purchase Order or along with dispatch instructions. Supplier shall prepare specimen of these documents TWO weeks prior to dispatch and submit the same to LTHE for approval. If the Billing Instructions are not strictly followed, LTHE shall withhold the amount payable till such time the corrected documents are submitted.

7.7.2 Advance Dispatch Documents:

Supplier shall forward to LTHE copies of the following documents within 48 hours of dispatch by fax/e-mail: --

- ✓ Commercial Invoices
- ✓ GST Invoice
- ✓ Lorry Receipt
- ✓ Packing List duly approved by TPIA
- ✓ Inspection Release Note issued by TPIA
  1) Supplier shall attach / send following documents along with consignment :GST invoice (Transporter copy)
  2) E-way / Road permit bill where necessary
  3) Packing list with proper quantity and HSN codes
  4) E-way Bill copy.

7.8 Transportation:

7.8.1 If transportation is in Supplier's scope, items shall be dispatched on "Door-Delivery and Freight Pre-paid basis". Goods shall be sent on full truckload basis only. Prior permission of LTHE shall be taken for dispatch on Part-Load basis. Retail booking or Transshipment is not permitted. Under no circumstances, consignment shall be dispatched on 'delivery against consignee copy. Items should not be dispatched in Shipper's / Supplier's own container.

Currently Entry Permits are not required. However if required, LTHE shall provide the required Entry Permits (Form No. XXXX) for supplies (meant for permanent incorporation into the Project) made to site. Supplier shall dispatch goods only after receipt of the same. Supplier/ transporter shall mention the Form No. on Invoice and LR. The Supplier shall furnish reconciliation of Road Permits issued to them along with final Bill. Supplier shall issue necessary way bill / e-way bill as and when goods are dispatched form suppliers works / site.

7.9 Damage to items in Transit:

7.9.1 In case the consignment has met with an accident in transit, Supplier shall send competent representative to site / accident site as required for assessing the damage so that the damaged components / parts can be re-Ordered. Any other documents support as required by Insurance company / LTHE/ OWNER will be furnished by Supplier.

8 Packing:

8.1 Supplier shall adhere to Approved Packing & Marking Instructions.

Supplier shall, wherever applicable, after proper painting, pack and crate all items in such a manner as to protect them from deterioration and damage during rail and road transportation to the site and during storage at the site till the time of erection. Without prejudice to any other liabilities or

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obligations of the Supplier, the Supplier shall be responsible for all damage(s) due to improper packing.

The Supplier wherever applicable, shall, after proper painting, pack and crate all materials for shipment in a manner suitable for export to a tropical, humid climate in accordance with internationally accepted export practices and in such a manner so as to protect them from damage and deterioration in transit by road, rail and/or sea and during storage at the site till the time of erection. Without prejudice to any other liabilities or obligations of the Supplier, the Supplier shall be responsible for all damage(s) to the materials due to improper packing. Depending on their type, goods are to be protected against both mechanical damage (shocks, rupture, breakage, loss) and corrosion (moisture, rain, salty atmosphere, sand, etc.). All the items for this project shall be shrink-wrapped. All packing materials will be considered non-returnable.

Should LTHE, Owner or any of its representatives incur any additional costs in rectification works due to a failure of the Goods, rectification work of damage(s) due to improper packaging or documentation to conform to the requirements of the Purchase Order, LTHE shall back charge such costs to Supplier and shall deduct such amounts from unpaid amounts owed to Supplier.

8.2 Packing lists shall be reviewed and endorsed by Supplier & TPIA prior to the dispatch. All short supplies shall be listed separately and endorsed by TPIA.

8.3 Purchase Order No. and P.O. Sr. No. shall be mentioned in all the commercial documents like Packing lists, Invoices etc. Failure to do so shall result in returning of documents to the Supplier and delay in payments.

8.4 Supplier shall submit lashing/ loading scheme to LTHE for approval for ODC consignments, if applicable. LTHE's Logistics Engineer reserves the right for inspection prior to dispatch of the consignment at the loading point.

8.5 Supplier to pack the Erection & Commissioning Spares, 2 years' operating spares and Special Tools & Tackles in separate wooden boxes

Supplier shall submit, "Transportation Methodology" which includes, but not limited to the following at least five months prior to Contractual Delivery Date:

- Protection arrangements for Internals to avoid the damage during multimodal transportation up to project Sites
- Lifting & loading plans at Supplier works for loading the cargo on Axle
- Transportation Sketch showing Overall Length, Width, Height, Weight & Three Dimensional CG Location, Saddles locations, Lifting and lashing Points
- Transportation Loading diagram on Hydraulic Axles & marching plan from Fabrication Area to Jetty
- Supplier to provide required Jetty to LSP free of Cost.
- Special requirements for unloading at on Barge & Roll-off at Jetty and subsequent transportation to site etc.
- Design and fabrication drawing for Stools (Pedestals) for Saddles for off-loading on stools on barge as well as while off-loading the equipment at site.
- Scope of Stools to be provided while off-loading the equipment at Site.
- Saddle Width and Length to be discussed with the Nominated LSP and supplier to arrange for the design accordingly to avoid any issue while off-loading the cargo on barge and further movement of the cargo to project Site.
- Transportation Drawing should also have the details for the point load for individual saddle so that LSP can arrange for the stability calculation on barge and axle.
- Supplier to arrange for the individual Invoice, Packing List and COO for shipment equipment wise.
- Supplier to arrange for the separate Invoice, Packing list for the cargo such as

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loose items, spares and accessories which will be shipped or transporter separately.

- Supplier to arrange for the Lifting Diagram for individual packages based on which LSP shall discuss with shipping line for loading pattern for cargo loading on vessel.

Supplier shall design and provide the adequate number of transportation saddles for transportation by Multimodal way - road & barge transportation.

Supplier will check adequacy of lashing Supplier shall submit the above documents at least six months prior to dispatch to LTHE & Insurance Company for approval. LTHE or Insurance Company reserves the right to comment and the comments will be incorporated without any time & cost to LTHE prior to the dispatch of the consignment. LTHE reserve the right to inspect the transportation arrangement before dispatch.

Special Conditions of Purchas Order

9 Deviations to the MR Specifications:

9.1 Deviations shall not be acceptable after release of P.O.

9.1.1 If unavoidable same will be processed as follows:

9.1.2

- Supplier to submit the same to LTHE along with all backups for approval (format as per PMC/OWNER standard).
- Responsibility of processing the request and acceptance thereafter by PMC/OWNER as applicable shall rest with LTHE. In case the deviation is acceptable there shall be no cost and time implications (in case what is being offered is superior to the bid specifications in terms of cost).
- If rejected by PMC/OWNER, LTHE shall in no way be responsible and all terms & conditions including delivery / time of completion and / or price as per the Purchase Order shall remain unaffected and the deviations stand withdrawn by Supplier.
- If the deviation is accepted by PMC/OWNER, the Cost benefit sought by PMC/OWNER, if any, will be deducted and the Contract value shall be discounted accordingly. Any recoveries if due, shall be made from Supplier's subsequent invoices / pending payments if any. This deduction shall be over and above any of the other deductions / limitation of liability indicated elsewhere. Supplier shall provide all the necessary and sufficient back-ups for justifying the cost benefit applicable for the deviation passed on to LTHE.

9.2 Liability under the Order:

9.2.1 Supplier's maximum aggregate liability under this Order shall not exceed the Order value. This does not include liability for "Make-Good" and "Risk Purchase" as specified elsewhere in this document.

9.2.2 The deductions on account of any of the reasons at Sr. No. 4 & 11 of this document shall be made from the pending bills of the Supplier.

9.2.3 Levy of Price discount shall not relieve the Supplier from any of their contractual obligations.

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9.2.4 Neither Party shall be liable to the other for any indirect or consequential loss or damage howsoever arising, including without limitation loss of product or equipment or facility down-time or loss of profit or loss of opportunity or revenue or increased costs of finance or like items of loss or damage, without regard to the causes thereof including, without limitation, the fault, negligence, breach of statutory or contractual duty or obligation or otherwise of either Supplier or OWNER provided that (a) no liability or indemnity under this clause shall be considered as a liability to pay or to indemnify a Party for indirect or consequential loss or damage and (b) the provisions of this Clause shall not limit the Supplier's obligations to pay Price Discount under this Order.

9.3 Guarantee/Warranty

9.3.1 All materials / Equipment supplied, (irrespective of whether engineering, design data or other information has been furnished, reviewed or approved by LTHE/PMC/OWNER) shall be free from faulty design, material & workmanship, and shall be of sufficient size and capacity and of proper materials so as to fulfill in all respects all operating conditions, specified in the Order.

9.3.2 Engineering Guarantee:

9.3.2.1 It shall be the prime responsibility of the supplier to carry out design, engineering and supply in accordance with the MR and such design shall also be in accordance with good and sound engineering practices.

9.3.2.2 In case any errors or omissions in such design or engineering, attributable to the Supplier, which require re-engineering resulting in any new requirements for the subject item / materials / packages, the same shall be supplied and / or carried out by the Supplier within the scope of work and/or supply and within the contractual delivery period without any extra price and / or delivery implications to LTHE.

9.3.3 Material/ Workmanship Guarantee:

9.3.3.1 Workmanship for manufacture and construction shall be carried out in accordance with the stipulations of the MR.

9.3.3.2 Supplier shall guarantee that the subject Package (i.e Equipment and/ or Materials including spare parts, chemicals, lubricants and consumables, if any) supplied under this Order shall be new and unused (not reconditioned) and of recent manufacture. , are of the best quality & workmanship, free from defects in design, material & workmanship, are suitable for the operating conditions specified in the Order and that the performance of the Equipment / Material etc. supplied shall be as per stipulated parameters.

9.3.3.3 Any rectification of any defective material supplied or work done shall be made good without any Price implications to LTHE or if so considered by LTHE/OWNER/PMC, shall be replaced by new equipment within the scope of work and/or supply on DDP Site basis.

9.3.3.4 The Supplier shall guarantee and shall accept full, responsibility for all materials supplied / installed / erected with regard to:

- ✓ Selection of material (if not specified by LTHE)
- ✓ Material specification and metallurgy as per Specification
- ✓ Fabrication and Manufacturing workmanship
- ✓ Work specification
- ✓ Engagement of highly experienced, reliable and qualified sub-Suppliers/sub-contractors, engineers, workmen etc.

9.3.3.5 The above shall exclude damages due to normal wear and tear, application for other than the intended purpose, improper handling or inadequate maintenance by LTHE/OWNER.

9.3.4 Performance Guarantee :

9.3.4.1 The items designed, supplied and installed / erected shall operate to the desired capacity to

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produce the desired and guaranteed duty conditions.

9.3.4.2 This guarantee shall cover the guaranteed mechanical performance for each and every related equipment, their efficiencies and their performance as laid down in the specifications including guarantee for power consumption as indicated by the Supplier in their Offer.
The supplier shall select the equipment considering the economy of utilities consumption within the guarantee figures provided and minimum effluent or pollution discharge satisfying the specifications/requirements specified in the MR.

9.3.4.3 Equipment / items which do not perform to the guarantees shall either be replaced or altered, repaired or replaced in parts or components (including dismantling, transportation, erection, hook-up, commissioning etc.) at no Price implication to LTHE/OWNER and without entitlement of extension of delivery period to the Supplier.

9.3.4.4 supplier shall carry out all activities for collecting the required data during guarantee runs to identify problems of non performance for further analysis and modifications required to meet process performance parameters.

9.3.4.5 Supplier shall be solely responsible for supply of all instruments required for establishing performance of the subject item at no extra Price to LTHE.

9.3.4.6 Supplier shall provide a list of laboratory test procedures and frequencies thereof required for validating the performance guarantees.

9.3.4.7 Performance tests shall be started when the machine/equipment is stabilized under design conditions. The equipment / machine / package shall be operated and controlled in accordance with procedures set up before hand. The performance shall be measured on the basis of the average of data obtained during 72 hours of performance test runs under continuous operation of the machine

One or more performance tests shall be carried out for a maximum of 120 hours each under the technical direction of PMC/LICENSOR/OWNER. At the end of the performance test an uninterrupted period of 72 hours shall be selected by PMC/OWNER and the average results obtained during that 72 hours shall form the basis of comparison between the actual performance and guaranteed performance.

If a performance test has been carried out for a maximum of 120 hours and a run of 72 hours is not available due to interruptions for which Supplier/LTHE is not responsible then an aggregate of 96 operating hours shall be chosen and the average results obtained shall form the basis of comparison between the actual performance and the guaranteed figures.

9.3.4.8 If on any testing any material or equipment or any individual Unit of the equipment does not meet the design, rated or guaranteed performance relative thereto, the Supplier shall forthwith, within the Supplier's scope of work and at no additional Price to LTHE, undertake such additional tests and/ or operations that are necessary to identify the cause of such failure in conjunction with LTHE.

9.3.4.9 If as a result of tests and / or operation it is determined that the design/ rated/guaranteed outputs/capacities have not been met because of defect(s) in any material, service or workmanship, the Supplier shall forthwith arrange to repair / replace part or whole of the item supplied with no Price implications to LTHE/OWNER. The Supplier shall, for this purpose, forthwith establish a "Time Schedule" acceptable to LTHE / OWNER for such replacement / rectification bearing in mind the exigencies of the Project requirements. Should the Supplier fail to establish such "Time Schedule", LTHE shall establish the "Time Schedule" and the "Time Schedule" so established shall be binding on the Supplier. Should the Supplier thereafter fail to adhere to the "Time Schedule" so established for the replacement / rectification, LTHE shall (but without obligation to do so), take-over in whole or part such replacement / rectification at the Risk & Cost of the Supplier. In so doing, LTHE shall be entitled for identify and employ the quickest available resources of supply and / or work. . LTHE reserves the right to charge supplier overheads and / or administrative charges for any such supply and / or work.

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9.4 Guarantee / Defect Liability Period:

9.4.1 Notwithstanding anything stated to the contrary elsewhere in the documents comprising the RFQ, but subject to 11.4.2 & 11.4.3) below, the Guarantee / Defect Liability Period (DLP) of the Equipment / Material / Services for design, material, workmanship and performance shall be based on the above Defect Liability period shall be till 2 years from date of dispatch.

9.4.2 Should any defect and / or under performance in the Equipment / Material supplied be noticed during the guarantee / defect liability period, the Supplier shall, at no Price to LTHE / OWNER make the defect good at site promptly, by way of repair / modification or replacement and re-installment of the Equipment / Material.

9.4.3 Any Equipment / Materials repaired / modified or replaced / reinstalled during the above Defect Liability Period shall be subject to defect free guarantee / defect liability period for a further period of twelve (12) months from the date of correction, repair, rectification, replacement and/or re-installation with the intent that the provisions of other clauses under "Guarantee / Defect Liability Period" shall apply thereto in respect of all defects discovered during a period of twelve (12) months from the date of completion of the relative correction, repair, rectification, replacement and/or re-installation as the case may be, in the same manner and to the same extent as apply in respect of the original works.

9.4.4 In case of replacement of goods supplier shall not be entitled to return of the defective goods.

9.4.5 In case of any claim arising out of this guarantee within guarantee / defect liability period, LTHE shall notify the Supplier in writing and upon receipt of the same, Supplier shall, with all reasonable speed, repair/ replace the defective goods without any Price to LTHE / OWNER. The delivery schedule for the same shall be mutually discussed & agreed upon.

9.4.6 The Supplier shall provide at his own cost and initiative all labour, material, equipment, crafts and inputs whatsoever required in and relative to the correction, repair, rectification, replacement, erection, installation and / or re-performance of the relative work(s) and / or systems(s) within the guarantee / defect liability period.

Local rules and regulations:
Supplier shall ensure that the Goods within the scope of supply for this Purchase Order are in compliance with local codes and regulations. Supplier shall ensure that local rules and regulations and procedures have been complied with in obtaining certificates if and when required. Costs related to compliance with aforementioned are included in the Purchase Order price.

9.4.7 Should the Supplier fail to fulfill his obligations during Guarantee / Defect liability period, all costs / charges / taxes & duties / expenses related to engineering / supply / construction / erection / testing / commissioning etc. for the said equipment / material etc. incurred by LTHE/OWNER on this account shall be back-charged to the Supplier. However, this shall not relieve the Supplier from any of the contractual obligations including guarantees.

9.4.8 In case Supplier's guarantee period as per clause above expires and LTHE requires an extension in the defect liability period, then Supplier shall extend the defect liability period, including extension in validity of PBG and implications thereof if any, will be discussed at that point of time.

9.5 Technical Co-operation – Joint Responsibility

9.5.1 Should the supply be complementary to materials or equipment supplied by third parties, the SUPPLIER undertakes to co-operate with said other SUPPLIERs, in order to co-ordinate with them the planning, manufacture, erection and/or setting in operation of whatever is pertaining to his supply.

9.5.2 Any cost arising from a Supplier's wrong technical information to other Suppliers shall be at Supplier's charge.

9.5.3 The Supplier shall deliver to the BUYER, a copy of all pertinent documentation.

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9.5.4 The Supplier and such other Supplier's shall be jointly liable for the good running of groups, plants, equipment, etc., supplied to BUYER. Should any inconvenience occur due to erroneous exchange of technical information, the Supplier's involved shall directly co-operate with each other, in order to eliminate such inconveniences as soon as possible according to their technical responsibilities, at no cost to the BUYER.

9.6 Non Waiver

Failure by BUYER to insist upon strict performance of any terms or conditions of the Order, or failure or delay to exercise any rights or remedies provided therein or by law, or failure to properly notify Supplier in the event of breach, or the acceptance of or payment for any goods or services thereunder, or the review or failure to review designs shall not release Supplier from any of the warranties or obligations of the Order and shall not be deemed a waiver of any right of BUYER to insist upon strict performance thereof or any of its rights or remedies as to any prior or subsequent default thereunder nor shall any termination of work under the Order by BUYER operate as a waiver of any of the terms thereof.

9.7 Non Disclosure agreement

The Buyer and the Owner (if any) reserve the sole right to disclose and/or publicise in any manner (i.e., for instance, through press release, speeches, photographs, videos, etc.), directly or indirectly (i.e., for instance, authorizing someone to make such disclosure), any kind of data, document and/or information concerning the Supply (materials and/or services) or any part thereof. The Supplier shall not make any such disclosure and/or publicity without the prior written consent of the Buyer and the Owner.

9.8 Code of Conduct

9.8.1 Supplier shall adhere to the LTHE Code of Conduct (Annexure A).

9.9 HSE Requirements

9.9.1 The Supplier shall abide by all the health, safety and environmental requirements in compliance with the applicable local statutory rules & regulations and LTHE HSE Policy and shall ensure that all such requirements are communicated to all the personnel involved in executing this Purchase Order

9.10 Termination / Cancellation and Suspension

9.10.1 LTHE may, at any time terminate the Order in whole or part by giving written notice thereof and without assigning any reasons. Supplier, shall on receipt of notice of termination discontinue all further activities connected with the execution of the Order and inform LTHE of details of work carried out as on date, together with financial implication. In the event of such termination, LTHE shall discuss with Supplier to ascertain extent of work carried out by Supplier and to reach an agreement on cost mutually acceptable to LTHE and Supplier.

9.10.2 In case specified delivery schedule is not adhered to or the progress of manufacture of the goods is not satisfactory or not in accordance with the Delivery schedule, LTHE shall inform the Supplier about the delay. The Supplier shall take necessary actions to catch-up with the agreed delivery schedule that result in Supplier meeting the agreed schedule. In the event that the Supplier takes no action or even after the Supplier taking necessary actions, as mentioned above, the anticipated delay is in excess of 4 weeks, LTHE reserves the right to cancel the Purchase Order in whole or in part without liability for damages/ compensation. In such event, LTHE may procure from elsewhere goods, at Supplier's Risk & Cost, which in LTHE's opinion would meet the same purpose as the goods for which Purchase Order is cancelled and Supplier shall be liable for reimbursing LTHE cost of such substitution.

9.10.3 In the event of rejection of non-conforming goods, Supplier shall be allowed, without any extension of delivery time, to rectify the non-conformities. Should, however, the Supplier fail to do so within the stipulated time, LTHE may cancel the Order as to the non-conforming goods and retain the same right with respect to substitution as are set out in preceding paragraph and in addition recover actual expenses incurred by LTHE, in installing and removing the nonconformity to be rectified at

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Supplier's Risk and Cost. LTHE reserves the right to charge supplier overheads and / or administrative charges for any such supply and / or work.

9.10.4 If the Order is suspended for whatsoever reasons and for whatever time duration by LTHE, the Delivery and price shall be amended based on mutually agreed terms.

9.11 Insolvency and Bankruptcy

9.11.1 In case of one of the following events:

a) SUPPLIER becomes insolvent,

b) a petition in bankruptcy is filed with respect to SUPPLIER,

c) opening of an official receivership procedure with respect to SUPPLIER,

d) SUPPLIER's request for obtaining controlled administration,

e) important changes on the SUPPLIER's organisational structure or ownership which can undermine the successful conclusion of the supply,

f) any authority having jurisdiction takes or institutes any action or proceedings for the dissolution or winding up of SUPPLIER or for the suspension of his operations,

9.11.2 SUPPLIER has the contractual obligation to timely inform the BUYER in writing.

9.11.3 In such cases, BUYER, upon notice in writing to SUPPLIER, has the right without prejudice of the procedural consequences, to terminate totally or in part the P.O. and to take all the special and/or particular measures needed to fulfill his obligations towards the OWNER.

9.11.4 BUYER will be entitled to have immediately at his disposal the supply and/or the materials, lying at the SUPPLIER's workshop, relevant to the P.O., giving, if necessary, an adequate guarantee of value to the trustee in bankruptcy or other appointed official receiver.

9.12 Force Majeure

9.12.1 "Force Majeure" shall mean an event beyond the control of the Supplier and not involving the Supplier's fault or negligence and not foreseeable, such as, but not restricted to wars (declared or undeclared), revolutions, civil wars, tidal waves, hurricanes, typhoons, act of terrorism, fires, major floods, earthquakes, epidemics, quarantine restrictions, nation-wide transportation strikes and national strikes and freight embargoes.

9.12.2 Force Majeure shall not include inclement or unforeseen weather, strike or lock-out, shutdown, third party breach, delay in supply of material(s), transportation delays, delay in payment or commercial hardships, shutdown or idleness or other impediments in progress or completion of the work due to any reason whatsoever.

9.12.3 If Supplier is prevented or delayed in the performance of any obligations under this Order by circumstances of Force Majeure, the Supplier shall give written notice by letter thereof to LTHE within four (4) days of the occurrence of the Force Majeure event full details of conditions (duly certified by the local Chamber of Commerce or statutory authorities) of Force Majeure, on commencement and on cessation of such circumstances. The Supplier shall also furnish necessary documentary evidence on prevalence of such conditions.

9.12.4 Supplier shall diligently mitigate or remove the effect of Force Majeure. LTHE shall upon receipt of the Notice of Force Majeure under the preceding Article shall confer promptly with the Supplier and agree upon, within fifteen days, a course of action to be adopted by the Supplier to remove or alleviate such effect(s), and shall seek reasonable methods of resuming full performance of Supplier's obligations and achieving the objectives under the Order.

9.12.5 In the event of any force majeure cause, Supplier or LTHE shall not be liable for delays in performing their obligations under this Order and the delivery dates will be extended without being subject to Price Discount for delayed deliveries, as stated elsewhere.

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9.12.6 For delays arising out of Force Majeure, the Supplier shall not claim extension in completion date for a period exceeding the period of delay attributable to the causes of Force Majeure and neither LTHE nor Supplier shall be liable to pay extra costs or claim any damages or compensation in addition to or in lieu of extension in completion date.

9.12.7 The Supplier shall not be entitled for extension in completion / Delivery Date if the Force Majeure does not exceed 7 days.

9.12.8 If after complying with the requirements of above clauses, Supplier is prevented or delayed from the complete performance of any obligation for a period of one month continuous, or two months aggregate during the Order period, the parties shall thereupon agree, upon termination of Force Majeure and upon recommencement of the Work to equitably make such adjustments as may be necessary to reflect altered circumstances as a result of Force Majeure, provided that if the Force Majeure continues for more than the said one month continuous or two months in aggregate, whichever occurs first, both parties shall discuss and come to a mutually agreeable solution, failing which LTHE, upon thirty days written notice, shall reserve the right to terminate this Order. The provisions governing Cancellation shall apply. However, LTHE shall not be liable to pay any Cancellation charges over and above the charges as admissible under Clause of Cancellation.

9.13 Infringement of Patents etc.

9.13.1 Suppliers shall warrant that the sale or use of goods supplied under the Contract, whether designed and manufactured so as to comply with LTHE's specifications or otherwise, shall be free of any claim, whether rightful or otherwise of any third person, by way of infringement of any patent, copyright, trademark or industrial design or the like, and shall hold LTHE harmless and indemnify LTHE at Supplier's own cost, from any and all such claims and legal proceeding. LTHE makes no warranty that the production, sale or use of goods designed and manufactured so as to comply with LTHE's specification will not give rise to the claim, whether rightful or otherwise, of any third person by way of infringement of any patent, copy-right trademark or industrial design or the like and in no event shall LTHE be liable to Supplier for indemnification in the event of any action being brought against Supplier in connection with any such claim.

9.13.2 This Clause shall survive termination of the Order.

9.14 Dispute Resolution

9.14.1 Any dispute or difference between the Parties arising out of or in connection with this Order which cannot be resolved amicably between the Parties at the level at which it arose within fifteen days thereof shall, in the first instance, be referred to the nominees of Directors of the respective Party for resolution. If the dispute cannot be settled within a further period of thirty days such dispute shall be resolved by arbitration in accordance with The Arbitration and Conciliation Act, India 1996 and any enactments thereon, by one arbitrator to be appointed by agreement between the Parties, failing which the appointment shall be made under the said Act.

9.14.2 The arbitration proceedings shall be conducted in English language. The arbitration venue shall be in Mumbai, India. The Parties agree that the dispute resolution process provided herein shall be the sole remedy and the Parties shall not suspend their obligations under the Order.

9.14.3 This Order shall be subject to the laws of India.

9.14.4 This Clause to arbitrate shall survive termination of this Order.

9.14.5 Notwithstanding the existence of any dispute or arbitration in terms hereof or otherwise, unless otherwise directed in writing by LTHE, the Supplier shall continue and be bound to continue and perform the works to completion in all respects according to the Order (unless the Order or works be determined by LTHE or by the Supplier under the provisions of the Order), and the Supplier shall remain liable and bound in all respects under the Order.

Harmonized Tariff Codes

S Supplier shall provide Buyer with the applicable Harmonized Tariff (HSN) Codes per line item for this Purchase Order / Packing List. Failure to do so may result in back charges to the Supplier to

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the extent of commercial implications to LTHE.

9.15 Assignment and Sub-Contracting

9.15.1 Supplier shall not, except with the previous written consent of LTHE, transfer or assign their obligations and interest in supply of materials, or sub-contract whole or part of the work under the Purchase Order in any manner whatsoever.

9.15.2 Grant of any such consent or approval shall not however absolve the Supplier in any manner from all or any of their obligations, duties and responsibilities, including delivery of materials under this Order within the stipulated Delivery schedule.

9.15.3 Moreover, delay, if any, by LTHE in approving any Sub-Contractor(s) proposed by the Supplier, or, rejection if any, by the LTHE of any Sub-Contractor(s) proposed by the Supplier, shall not entitle the Supplier for any claims for additional compensation or any claim for an extension in the Contractual Date of delivery. Supplier shall ensure that competent and resourceful agencies with proven track record should be proposed for the work to be sub-contracted.

9.16 Modifications and Amendments:

9.16.1 LTHE shall have the right to modify or amend this Purchase Order, by way of a written communication to the Supplier, subject to an adjustment in the price and/or delivery date. Adjustments in price and/or delivery date shall be mutually agreed between LTHE and the Supplier. In case price and/or delivery date adjustment cannot be settled immediately, upon written instruction from Purchaser, Supplier will proceed with the modification and price and/or delivery date adjustment shall be settled by mutual agreement before order close-out. Any delay in executing the modification after receipt of written instructions shall be to supplier's account.

9.16.2 Supplier shall forthwith inform regarding any claim for "Change-Order" prior to commencing with the same.

If there is any alteration or change in the scope of work or extra item and the Supplier or LTHE considers that the change requires revision in the contract price and / or delivery, Supplier shall issue / submit the change order proposal (COP) within 7 days of such instructions issued to supplier.

"Change-Orders" informed later or at the time of delivery shall not be entertained.

9.16.3 The Supplier shall carry out such amendments to the Purchase Order and shall be bound by the same terms and conditions incorporated in the original Purchase Order.

9.16.4 Nothing shall constitute a change order to the extent that additional work / efforts / resource deployment etc. are carried out / required only:

a) to ensure that the Work is carried out and completed as per the delivery schedule
b) as a consequence of Supplier's failure to comply with any of its obligations under the Purchase Order.

Any extension of time, if granted by LTHE, shall be the sole remedy of the Vendor for any cause or event of delay and the Vendor shall not be entitled in addition to or in lieu of such extension, to claim any damages or compensation whether under the law governing contracts or quasi-contracts or any other relationship, and the Vendor hereby waives and disclaims any and all contrary rights.

9.17 Right of the Buyer to set-off

9.17.1 LTHE shall be entitled to recover from the Supplier any sum(s) due to LTHE on account of any damage(s) or otherwise, whether in respect of supplies under this Purchase Order or under any of their previous Purchase Orders / Contracts, by deducting such sums from the amount due by them to the Supplier in respect of supplies made under this Purchase Order or any of their prior or subsequent Purchase Orders / Contracts.

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9.18 Confidentiality

9.18.1 All drawings, specifications and details furnished by LTHE to the Supplier shall be kept confidential. The technical information imparted and supplied to the Supplier by LTHE shall at all times remain the absolute property of LTHE. Supplier shall preserve and cause its employees to preserve the secrecy of any confidential information.

9.18.2 Supplier shall not use or cause to be used any confidential information for any purpose other than the performance of the Work, and as such Supplier shall not a) reproduce, copy or use any confidential information, or b) disclose to, place at the disposal of, or use on behalf of any third party, or enable any third party to peruse, copy or use any confidential information unless with prior written consent of LTHE.

9.19 **Supplier's Sales / Commercial Conditions**, if any, and/or any other terms & conditions indicated in their offer shall not be applicable and stand withdrawn in lieu of "Commercial Terms & Conditions" agreed and minuted between "Supplier" and "LTHE" before placement of Order.

9.19.1 Deviations whatsoever after placement of LOI / P.O. (whichever is earlier) are not acceptable & valid.

9.20 In case of any contradictions in the Terms & Conditions, the more stringent shall be applicable.

ATTACHMNETS:

A. LTHE Code of Conduct
B. Advance Bank Guarantee Format
C. LTHE Inspection Co-ordination Procedure
D. Terms & Conditions for Supervision of Erection, Commissioning & Performance Tests and for Client Training at Site
E. Check List for GST
F. List Approved Banks
G. Packing marking

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ADVANCE BANK GUARANTEE

THIS DEED OF GUARANTEE made at _____, this ____ day of _____, 200__, by _____(Name of bank and branch with address)_____, hereinafter called "the Bank" (which expression shall unless repugnant to the context or meaning thereof, include its successors and assigns) of the one part, in favour of L&T Hydrocarbon Engineering Limited, having its registered office at L&T House, Ballard Estate, Mumbai-400 001, hereinafter called "the Purchaser" (which expression shall mean and include its successors and assigns) of the other part.

WHEREAS :

i) Pursuant to Offer No._____ dated_____ from M/S _____ having its registered office at _____ (hereinafter called "the Vendor") and Purchase Order No._____ dated _____ from the Purchaser, a Contract was concluded between the Vendor and the Purchaser for _____ (hereinafter called "the Equipment") for _____Project of M/S _____at _____in the state of _____, on the terms and conditions mentioned in the said correspondence (hereinafter called "the Contract" which expression shall include all amendments, modifications and/or variations thereto, as mutually agreed between the parties thereto).

ii) Under the provisions of the said Contract, the Purchaser is required to pay the Vendor an amount of Rs (or relevant currency) _____ *(value in figures)* (_____) *(value in words)* being _____% of the contract price, subject to the Vendor furnishing a Bank Guarantee, as security for the equal amount.

iii) Accordingly, the Vendor has agreed to furnish a Bank Guarantee, which would operate as security for advance paid by the Purchaser

iv) In consideration of the aforesaid and at the request of the Vendor, the Bank has agreed to furnish such Bank Guarantee to the Purchaser, as hereinafter appearing.

NOW THIS INDENTURE WITNESSETH AS FOLLOWS :

1. The Bank do hereby irrevocably undertakes to pay at Mumbai, India, without any protest or demur or proof or condition and without reference to the Vendor any and all amounts demanded from time to time, to the Purchaser, forthwith on the first demand in writing, upto an amount not exceeding Rs. (or relevant currency) _____ *(in figures)* (_____) *(in words)* against any loss or damages caused to or suffered or would be caused to or suffered by the Purchaser by reason of non-fulfilment of the obligations under the said Contract, on the part of the Vendor and further agrees to indemnify and keep the Purchaser indemnified against all costs, charges and expenses whatsoever, which the Purchaser may incur by reason of the Vendor failing to fulfil its obligations under the said Contract.

2. Any demand so made on the Bank shall be conclusive as regards the amount due and payable by the Bank under this Guarantee. The Bank waives in favour of the Purchaser all rights, defences and pleas which the Bank, as guarantor, and / or Vendor may be entitled to. To give effect to this Guarantee, the Bank shall be deemed to be the principal debtor.

3. The Bank further agrees that the Purchaser shall be the sole judge whether the Vendor has committed any breach or breaches of any of the terms and conditions of the said Contract and the extent of loss, damages or costs, charges and expenses suffered or incurred or would be suffered or incurred by the Purchaser on account thereof.

4. The liability of the bank to the purchaser under this undertaking shall remain in full force and effect notwithstanding the existence of any difference or dispute between the vendor and the purchaser, the vendor and / or the bank and/or the bank and the purchaser or otherwise howsoever touching or affecting these presents or the liability of the vendor to the purchaser, and notwithstanding the existence of any instructions or purported instructions by the vendor, or any other person to the bank not to pay or for any cause withhold or defer payment to the purchaser under these presents, with the intent that notwithstanding the existence of such difference, dispute or instruction, the bank shall be and remain liable to make payment to the purchaser in terms thereof

5. Should it be necessary to extend the Guarantee beyond the date of expiry of this Bank Guarantee on account of extension of time being granted by the Purchaser to the Vendor for the due fulfillment of the obligations under the contract by the Vendor, the Bank undertakes to extend the period of this Guarantee until such time as may be reasonably required, upon receiving written instructions from the Vendor

6. The Bank further agrees that the Purchaser shall have the fullest liberty without Bank's consent and without affecting, in any manner, the Bank's obligations hereunder, to vary any of the terms and conditions of the said Contract or to postpone for any time or from time to time any of the powers exercisable by the Purchaser against the Vendor and to forbear or enforce any of the terms and conditions relating to the said Contract, and the Bank further agrees that it shall not be relieved from its liability by reason of any such variations in the terms and conditions or by any forbearance at or omission on the part of the Purchaser or any indulgence by the Purchaser to the Vendor or by any such matter or things whatsoever, which under the Law relating to sureties, would, but for this provision, have the effect of so relieving the Bank.

7. This Guarantee is effective from the date herein written above and the Bank further undertakes not to revoke this Guarantee during its currency, except with the previous consent in writing from the Purchaser.

8. This Guarantee and the powers and provisions herein contained are in addition to and not by way of limitation of or substitution for any other guarantee or guarantees heretofore given to the Purchaser by the Bank (whether jointly with others or alone) and now existing uncancelled and that this Guarantee is not intended to and shall not revoke or limit such guarantee or guarantees.

9. This Guarantee shall not be affected by any change in the constitution of the Vendor or the Bank nor shall it be affected by any change in the Purchaser's constitution or by any amalgamation or absorption thereof or therewith, but will inure for and be available to and enforceable by the absorbing or amalgamated company or concern.

10. This Guarantee will remain valid until and including the _____ day of _____, or any extension thereof, provided that unless a demand under this Guarantee is made by the Purchaser on the Bank within three months from the date of the expiry of this Guarantee, all rights of the Purchaser under this Guarantee shall be forfeited and the Bank shall be relieved and discharged from all liabilities under this Guarantee.

11. Without prejudice to any other mode of service, a demand or claim or other communication may be transmitted by the purchaser to the bank either by post or by fax. if transmitted by fax, the transmission shall be complete as soon as acknowledged by the bank.

12. This Guarantee / undertaking shall be governed by and construed in accordance with Indian Laws.

13. NOTWITHSTANDING ANYTHING CONTAINED HEREIN

i) Our liability under this Bank Guarantee shall not exceed the sum of Rs./ (relevant currency) (*value in figures*) (_____) (*value in words*).

ii) This Bank Guarantee shall be valid until _____ (date).

iii) We are liable to pay the Guarantee amount or any part thereof under this Bank Guarantee only and only if you serve upon us a written claim or demand on or before _____ (date of three months from the date of expiry of the guarantee).

IN WITNESS WHEREOF the Bank, acting through its constituted Attorney has executed these presents, in the name and on behalf of the Bank, on the date written herein above.

AUTHORISED OFFICER OF THE BANK
Name :
Designation :
Bankers' stamp :

(**NOTE :**
1. Not to be attested
2. Stamp duty on this Guarantee will be as on an Agreement in accordance with the local stamp law in force in the State in which this Guarantee is executed).

List of Approved Banks

A) NATIONALISED BANKS

1. ALLAHABAD BANK
2. ANDHRA BANK
3. BANK OF BARODA
4. BANK OF INDIA
5. BANK OF MAHARASHTRA
6. CANARA BANK
7. CENTRAL BANK OF INDIA
8. CORPORATION BANK
9. DENA BANK
10. INDIAN BANK
11. INDIAN OVERSEAS BANK
12. ORIENTAL BANK OF COMMERCE
13. PUNJAB NATIONAL BANK
14. PUNJAB AND SIND BANK
15. STATE BANK OF BIKANER
16. STATE BANK OF HYDERABAD
17. STATE BANK OF MYSORE
18. STATE BANK OF INDIA
19. STATE BANK OF INDORE
20. STATE BANK OF PATIALA
21. STATE BANK OF SAURASHTRA
22. STATE BANK OF TRAVANCORE
23. SYNDICATE BANK
24. UNITED COMMERCIAL BANK
25. UNION BANK OF INDIA
26. UNITED BANK OF INDIA
27. VIJAYA BANK

B) PRIVATE SECTOR BANKS

1. AXIS BANK LTD
2. KOTAK MAHINDRA BANK LTD
3. ICICI BANK LTD
4. HDFC BANK LTD
5. YES BANK LTD
6. INDUSIND BANK LTD
7. IDBI BANK

C) FOREIGN BANKS

1. CITI BANK
2. HSBC BANK
3. BANK OF AMERICA
4. STANDARD CHARTERED BANK
5. BNP PARIBAS
6. CREDIT AGRICOLE CIB
7. DBS BANK
8. DEUTSCHE BANK
9. ROYAL BANK OF SCOTLAND (ABN AMRO BANK)
10. BANK OF TOKYO MITSUBISHI
11. MIZUHO CORPORATE BANK
12. ANZ BANK (AUSTRALIA & NEW ZEALAND BANK)
13. BARKLAYS BANK
14. JP MORGAN CHASE
15. CREDIT SUISSE
16. ING VYSYA BANK
17. UNITED OVERSEAS BANK

Pls NOTE :

Original bank guarantee must be issued from Indian correspondent Bank of foreign vendor.